

Decoding Customer Value: Business Recommendations Report

Part 1: Promotional Sunset Plan

Observed that nearly half (46.1%) of loyal customers continued to rely on promotional discounts. Proposed a phased promotional sunset strategy that gradually replaced discounts with loyalty rewards to improve profitability without impacting customer retention.

Rollout Plan

Phase 1: Test (Month 1-2)

- Remove promo eligibility for the top 20% of Loyal-Promo Dependent customers (those with Previous Purchases > 40).
- This is the safest cohort because their tenure is longest and their habit strength is highest.

Phase 2: Expand (Month 3-4)

- Extend the sunset to the remaining Loyal- Promo Dependent customers (Previous Purchases 30-40).
- Offer a non-discount retention touchpoint instead: free express shipping, early access to new collections, or a loyalty acknowledgment.

Phase 3: Redirect (Month 5-6)

- Reallocate the freed-up promotional budget toward new customer acquisition targeting
- The Ideal Customer Profile, and toward re-engaging Standard customers who have high Previous Purchases but low frequency.

Part B: Acquiring More Ideal Customer Profile

Focus acquisition efforts on customer profiles that naturally demonstrate long-term value instead of short-term promotional responsiveness.

Recommended strategy:

- Target customers aged 37–52
- Lead with Clothing and Accessories
- Promote premium shipping rather than discounts
- Prioritize audiences likely to leave high review ratings
- Avoid leading acquisition campaigns with promotional offers

Part C: Shift Marketing Budget Toward Long-Term Value

- Instead of increasing promotional spending across all customers. Invest more in acquiring high-value customer segments.
 - Build loyalty through customer experience rather than price reductions.
 - Use promotions selectively for customer acquisition and reactivation.
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Part D: Continuously Monitor Retention Metrics

- Repeat purchase rate
- Average order value
- Churn after promotion removal
- Revenue contribution by customer segment

These metrics provide early warning signals and help evaluate the effectiveness of the promotional strategy
